

Simulation-based Time Series Analysis:

Testing for Structure, Likelihood-free Estimation, and Prediction with Transformers using Synthetic Data

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Overview of presentation

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Part I

Testing

Economics application

Hardness result

Physical dependence

Type I error control

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Part II

Estimation

Random features

Embedding results

Consistency

Asymptotic normality

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Part III

Prediction

Foundation models

Sim-and-regression

Conf. distributions

Calibration

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- ▶ **Temporal dependence:** X_t may depend on the past $X_{t-1}, X_{t-2}, \dots$
- ▶ **Nonstationarity:** the joint distribution of $X_{t_1+\tau}, \dots, X_{t_m+\tau}$ at $m \in \mathbb{N}$ distinct time points $t_1, \dots, t_m$ may change with the time-offset τ

Conditional independence testing

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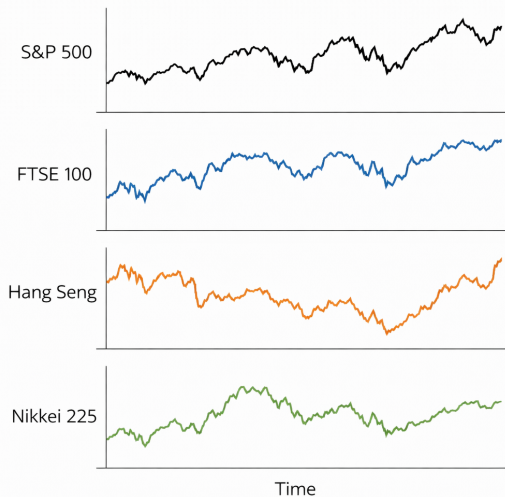
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- ▶ **Example:** links in the global economic system

Real data application: links in the global economic system

- ▶ Four stock market indices:
 - ① S&P 500 (US)
 - ② FTSE 100 (UK)
 - ③ Hang Seng (HK)
 - ④ Nikkei 225 (JP)
- ▶ Daily returns based on closing prices
- ▶ Trading days Jan. 2022–Apr. 2025
- ▶ Sample size: $n = 860$
- ▶ Results based on BH-adjusted p-values



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- ▶ Next, we present the testing procedure

Algorithm for conditional independence test (1/2)

- **Inputs:** Data $X_{1:n}$, $Y_{1:n}$, $Z_{1:n}$, significance level α , number of simulations s , $p \in [2, \infty]$ for norm in test statistic, and method for selecting the window size L

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- ▶ Calculate test statistic on time series of residual products

$$T(\hat{R}_{1:n}) = \max_{j \in [n]} \left\| \frac{1}{\sqrt{n}} \sum_{t \leq j} \hat{R}_t \right\|_p$$

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- ▶ Reject null hypothesis at level α if $T(\hat{R}_{1:n}) > \hat{q}_{1-\alpha}^{\text{boot}}$, else retain

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- ▶ **Implication:** We can only hope to achieve Type I error control on a subset of null distributions $\mathcal{P}_n^{\text{CI}}$, so must restrict the null hypothesis to make CI testing feasible
- ▶ **Key assumption:** uniform decay of physical dependence measure (Wu 2005) for all time series $X_{1:n}$, $Y_{1:n}$, and $Z_{1:n}$

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- ▶ Let $G_t^{(n)} : \mathbb{R}^\infty \times \Theta \rightarrow \mathbb{R}^d$ be some measurable function, $t, n, d \in \mathbb{N}$

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Assumption

Given a parameter $\theta \in \Theta$, index $n \in \mathbb{N}$ (linked to sample size and approximation), and noise inputs ϵ_t , a time series $X_{1:n}$ is generated by nature as

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- ▶ Let P_θ be the law of $(G_t(\epsilon_t, \theta))_{t \in \mathbb{N}}$ for some limiting mapping G_t
- ▶ Denote the collections by $\mathcal{P}_n = \{P_{\theta,n} : \theta \in \Theta\}$ and $\mathcal{P} = \{P_\theta : \theta \in \Theta\}$

Key assumption: Decaying influence of noise inputs (Wu 2005)

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Assumption

There exist $\Psi, \rho > 0$ such that, for some $q > 2$ and all $j \in \mathbb{N}$, we have

$$\sup_{\theta \in \Theta} \sup_{\ell \in \mathbb{Z}} \sup_{i \in \mathbb{N}} \sup_{t \in \mathbb{N}} \left\| G_t^{(i)}(\epsilon_\ell, \theta) - G_t^{(i)}(\tilde{\epsilon}_{\ell,j}, \theta) \right\|_{L^q(\theta)} \leq \Psi(j \vee 1)^{-\rho}$$

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where $\|\cdot\|_{L^q(\theta)} = \mathbb{E}_\theta (\|\cdot\|_2^q)^{1/q}$, $\mathbb{E}_\theta(\cdot)$ is expectation w.r.t. θ -dependent distribution

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Theorem (Informal)

Recall the test statistic $T(\hat{R}_{1:n})$ and estimated quantile $\hat{q}_{1-\alpha}^{\text{boot}}$. We have

$$\limsup_{n \rightarrow \infty} \sup_{P \in \mathcal{P}_n^*} \mathbb{P}_P \left(T(\hat{R}_{1:n}) > \hat{q}_{1-\alpha}^{\text{boot}} \right) \leq \alpha.$$

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- ▶ **Key assumption:** We know $G_t^{(n)}$ and can simulate from it at any value of $\theta \in \Theta$

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- ▶ *Many* choices for F , e.g., moment-based statistics, parameter from auxiliary model

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- ▶ For “almost every” C^1 smooth function Φ from $\mathbb{R}^p$ to $\mathbb{R}^{2p+1}$:
 1. Φ **is one-to-one** on compact subsets of $\mathbb{R}^p$
 2. Φ **has a nice derivative** on certain compact subsets of $\mathbb{R}^p$
 - Details: the $(2p + 1) \times p$ Jacobian matrix of Φ has full rank p on each compact subset of a smooth manifold contained in $\mathbb{R}^p$

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- ▶ If physical dependence measure (Wu 2005) decays uniformly over Θ , we can estimate $\Phi(\theta)$, $\theta \in \Theta$, via time-averages of $2p + 1$ random features

$$\frac{1}{n-m} \sum_{t=m+1}^n \varphi \left([X_t(\theta), \dots, X_{t-m}(\theta)]^\top \right)$$

Example: Mean of Gaussian

- **Goal:** Estimate $\theta_0 = \mu_0 = 0.5$ given $X_1^{\text{obs}}, \dots, X_n^{\text{obs}} \stackrel{\text{iid}}{\sim} \mathcal{N}(\theta_0, 1)$ with $\Theta = [-3, 3]$

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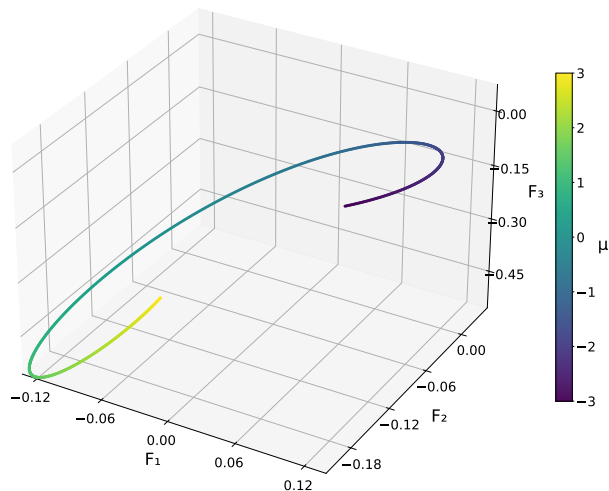
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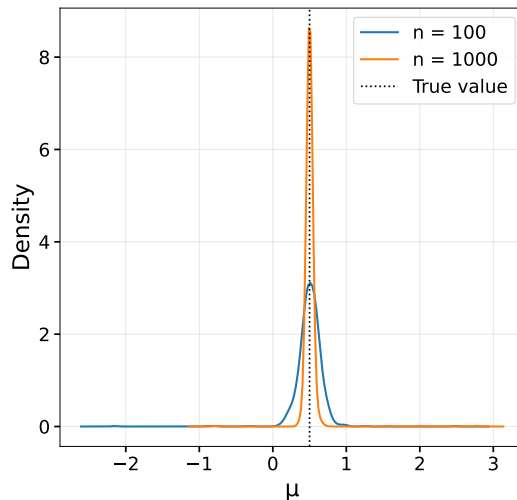
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- ▶ We will compare the MSE of our estimator $\hat{\theta}$ with $\hat{\theta}^{\text{MLE}} = \frac{1}{n} \sum_{t=1}^n X_t$

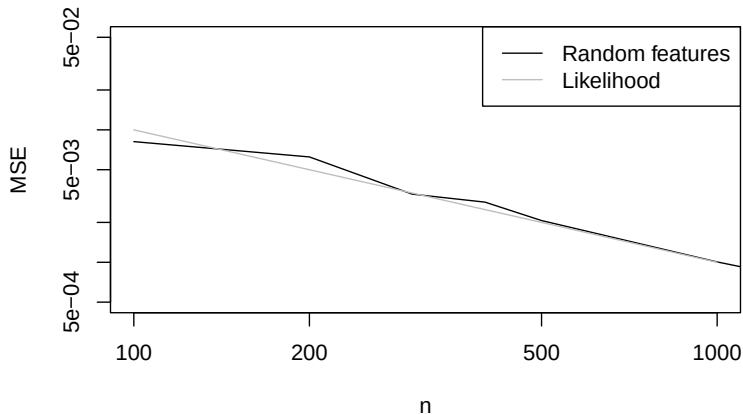
Each point is a time-average of 3 features, colored by value of parameter μ



Density plot based on 1,000 independent estimates of true mean $\mu_0 = 0.5$



Theoretical MSE of $\hat{\theta}^{\text{MLE}}$ ($1/n$) vs MSE of our $\hat{\theta}$ (100 replicates per n)



Theoretical guarantees for two estimators

- ▶ Let $Q_n(\cdot)$ be the sample discrepancy function s.t. $\hat{\theta} = \arg \min_{\theta \in \Theta} \|Q_n(\theta)\|$, and let V be the asymptotic covariance matrix from $\sqrt{n}Q_n(\theta_0) \Rightarrow N(0, V)$

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- ▶ Same guarantees for rolling-window estimator for nonstationary time series
- ▶ Examples:
 1. ODEs with *temporally dependent* observational noise
 2. State-space models with controls
 3. Trend-seasonality-noise decomposition with latent process

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- ▶ We develop theory, and propose *simulation-and-regression* methods
- ▶ In the context of state-space modeling:
 - **Smoothing:** estimate past latent states X with current info
 - **Forecasting:** predict future observations Y or latent states X with current info

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- But $\hat{\theta} \neq \theta_0$, so the minimizer $f_{P_{\hat{\theta}}}^*$ in the function class of $R_{P_{\hat{\theta}}}(f)$ will be “wrong”

Our method: Simulation-and-regression with parameter uncertainty

- ▶ Let $\widehat{\text{CD}}_n$ be some estimated *confidence distribution* over $\Theta \subset \mathbb{R}^p$ for θ_0

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for some loss L , where the expectation is w.r.t. the mixture distribution $P_{\widehat{\text{mix}}} = \int_{\Theta} P_\theta d\widehat{\text{CD}}_n(\theta)$ of time series X, Y yielded by $\widehat{\text{CD}}_n$

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- ▶ When $\widehat{\text{CD}}_n$ is uniform over Θ , this is like TSFM pre-training with synthetic data
- ▶ When $\widehat{\text{CD}}_n$ is Dirac measure at $\hat{\theta}$, this is like classical simulation-and-regression

Future directions

- ▶ Forecasting and smoothing with transformers trained on synthetic time series
- ▶ Instantiate framework by minimizing sum of multiple quantile losses, so transformer outputs multiple quantile predictions
- ▶ **Research question:** Does incorporating parameter uncertainty improve the calibration of multi-quantile predictions across quantile levels?
- ▶ **Primary objective:** Develop the method, evaluate performance through extensive experiments on transformer-based forecasting and smoothing, and submit paper
- ▶ *After submitting the main paper*, if time allows, a possible extension is to apply the method to epidemiological time series

Thank you!

Questions and comments are welcome
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Main ideas

- ▶ **Research question:** Does incorporating parameter uncertainty improve the calibration of pre-trained/untrained transformers that output quantile predictions?
- ▶ We would like the quantile predictions to have the correct coverage
- ▶ That is, the probability that the time series, at a particular time, is less than or equal to the predicted α -quantile, at that same time, is *actually* equal to α
- ▶ For smoothing, we assess this with synthetic experiments
- ▶ For forecasting, we assess this with real data and synthetic experiments

Multi-quantile loss function

- Denote the times by $\mathcal{T}$, and number of times by $T = |\mathcal{T}|$, dimensions by d , quantile levels by K , and simulations by s (in practice, use batches)
- Multi-quantile regression heads by minimizing sum of multiple quantile losses

$$\frac{1}{s} \sum_{r \in [s]} \left[\sum_{t \in \mathcal{T}} \left(\sum_{j \in [d]} \left[\sum_{k \in [K]} \rho_{\tau_k} \left(X_{t,j}^{(r)} - [f(Y^{(r)})]_{t,j,\tau_k} \right) + Q_{\lambda}(r, t, j) \right] \right) \right]$$

where $\rho_{\tau_k}(u) = (\tau_k - \mathbb{I}[u < 0])u$, each $\tau_k \in (0, 1)$, and $\mathbb{I}$ is the indicator function

- Want predicted quantiles at lower levels to be less than those at higher levels, i.e. denoting $\hat{q}_{t,j}^{\text{obs}}(\tau_k) \equiv [\hat{f}(Y^{\text{obs}})]_{t,j,\tau_k}$ we want $\hat{q}_{t,j}^{\text{obs}}(\tau_1) \leq \hat{q}_{t,j}^{\text{obs}}(\tau_2) \leq \dots \leq \hat{q}_{t,j}^{\text{obs}}(\tau_K)$, so we penalize **quantile crossing** by adding the penalty

$$Q_{\lambda}(r, t, j) = \lambda \sum_{k=1}^{K-1} \max \left(0, [f(Y^{(r)})]_{t,j,\tau_k} - [f(Y^{(r)})]_{t,j,\tau_{k+1}} \right)$$

for some tuning parameter $\lambda > 0$, where the levels are ordered $\tau_1 \leq \tau_2 \leq \dots \leq \tau_K$

Algorithm for calibration experiments

- ▶ Step 1: Estimate confidence distribution $\widehat{\text{CD}}_n$ using the observed time series Y^{obs}
- ▶ Step 2: For $r \in [s]$, draw $\theta^{(r)} \sim \widehat{\text{CD}}_n$ and simulate $(X^{(r)}, Y^{(r)})_{r \in [s]}$ at $\theta^{(r)}$
- ▶ Step 3: Select hyperparameters (e.g., K -fold or 80/20 train/val over simulations)
- ▶ Step 4: For multi-quantile loss L , obtain predictor $\hat{f}$ by minimizing

$$\frac{1}{s} \sum_{r \in [s]} \left[\sum_{t \in \mathcal{T}} L \left(X_t^{(r)} - [f(Y^{(r)})]_t \right) \right]$$

over some seq2seq function class (e.g., transformers)

- ▶ Step 5: Apply seq2seq function $\hat{f}(Y^{\text{obs}})$ to predict latent states at all times based on the multiple predicted quantiles

Setup for calibration metrics

- ▶ To assess calibration in the context of quantile forecasting nonstationary time series, we adapt the metrics from Adler et al. (2025), which use time-averages
- ▶ **Main difference:** We average each metric over s simulations from a model
- ▶ When forecasting observations of real time series, we can use rolling averages
- ▶ When forecasting observations, just let X denote the forecasting target
- ▶ We present the metrics for the univariate setting, i.e. $d = 1$, to simplify the notation, and for $d \in \mathbb{N}$, we can aggregate metrics by averaging over dimensions
- ▶ Let $\mathcal{T}$ to be the times with $T = |\mathcal{T}|$, Y be the observed time series,
 $\hat{q}_t^{(r)}(\tau_k) \equiv [\hat{f}(Y^{(r)})]_{t, \tau_k}$ be the r -th predicted quantile at time t for level $\tau_k \in \{0.1, 0.2, \dots, 0.9\}$, and $\Delta = \{(0.1, 0.9), (0.2, 0.8), (0.3, 0.7), (0.4, 0.6)\}$

Calibration metric 1

- For $t \in \mathcal{T}$, define the *Probabilistic Calibration Error (PCE)* as:

$$\text{PCE}(t) = \frac{1}{K} \sum_{k \in [K]} \left| \tau_k - \frac{1}{s} \sum_{r=1}^s \mathbb{I} \left[X_t^{(r)} \leq \hat{q}_t^{(r)}(\tau_k) \right] \right|$$

- Lower values indicate better-calibrated models:
- 1 PCE is lower-bounded by 0 (i.e. predicted quantile above)
 - 2 PCE is upper-bounded by 0.5 (i.e. predicted quantile below)

Calibration metric 2

- ▶ Well-calibrated models do not necessarily yield useful forecasts
- ▶ A model can predict very large quantiles and be calibrated
- ▶ Need metric that captures sharpness (i.e. concentration of predictive distribution)
- ▶ Scale width of prediction interval by width of corresponding interval using unconditional quantiles $\bar{q}_t^{(r)}(\cdot)$ estimated via order statistics of s simulations
- ▶ For $t \in \mathcal{T}$, define the *Scaled Interval Width (SIW)* as:

$$\text{SIW}(t) = \frac{1}{|\Delta|} \sum_{(\tau_{\text{low}}, \tau_{\text{high}}) \in \Delta} \left[\frac{1}{s} \sum_{r=1}^s \frac{\hat{q}_t^{(r)}(\tau_{\text{high}}) - \hat{q}_t^{(r)}(\tau_{\text{low}})}{\bar{q}_t^{(r)}(\tau_{\text{high}}) - \bar{q}_t^{(r)}(\tau_{\text{low}})} \right]$$

- ▶ Lower (resp. higher) values correspond to tighter (resp. wider) prediction intervals

Calibration metric 3

- ▶ We introduce a metric to help check whether a model is under or over confident
- ▶ For $t \in \mathcal{T}$, define the *Centered Calibration Error (CCE)* as:

$$\text{CCE}(t) = \frac{1}{|\Delta|} \sum_{(\tau_{\text{low}}, \tau_{\text{high}}) \in \Delta} \left((\tau_{\text{high}} - \tau_{\text{low}}) - \frac{1}{s} \sum_{r=1}^s \mathbb{I} \left[\hat{q}_t^{(r)}(\tau_{\text{low}}) \leq X_t^{(r)} \leq \hat{q}_t^{(r)}(\tau_{\text{high}}) \right] \right)$$

- ▶ Positive CCE values mean that more observations are outside the prediction interval than expected
- ▶ When combined with a low SIW value, this suggests a model is overconfident, i.e. that the prediction intervals are too narrow

Calibration

- ▶ For improving calibration with $\widehat{CD}_n$ *beyond* doing simulation-and-regression and fine-tuning based on the parameter estimate $\hat{\theta}$, we can reduce this to the other questions by instantiating the loss function L as the multi-quantile loss
- ▶ For untrained transformers, refer to *simulation-based training*
- ▶ For pre-trained transformers, refer to *pre-training*

Simulation-based training

- ▶ **Question:** In the context of simulation-and-regression, does accounting for parameter uncertainty achieve better performance than using parameter estimate?
- ▶ When does this inequality hold:

$$\mathbb{E}_{P_{\theta_0}} \left[\sum_{t \in \mathcal{T}} L \left(X_t - [f_{\widehat{P}_{\text{mix}}}^*(Y)]_t \right) \right] < \mathbb{E}_{P_{\theta_0}} \left[\sum_{t \in \mathcal{T}} L \left(X_t - [f_{\widehat{P}_{\hat{\theta}}}^*(Y)]_t \right) \right]$$

where both expectations are with respect to the distribution P_{θ_0} of the time series corresponding to the unknown true parameter θ_0 , $f_{\widehat{P}_{\text{mix}}}^*$ is the minimizer in the function class of $R_{\widehat{P}_{\text{mix}}}(f)$, and $f_{\widehat{P}_{\hat{\theta}}}^*$ is the minimizer in the function class of $R_{\widehat{P}_{\hat{\theta}}}(f)$

Pre-training

- ▶ **Question:** When does a pre-trained transformer fine-tuned with our method outperform a transformer trained from scratch with our method?
- ▶ Intuitively, this occurs when the following conditions hold
- ▶ Large parameter uncertainty, e.g., when the sample size of the observed time series is small relative to the noise
- ▶ The distributions used in the pre-training phase are close to the true distribution, e.g., when we have domain knowledge or we have previously observed time series with similar distributions

Connections of proposed method to Bayesian prediction

- ▶ When using the Gaussian depth-CD $N(\hat{\theta}, \hat{\Sigma}/n)$, our proposed method can be viewed as a frequentist, likelihood-free analogue of the Laplace approximation to the posterior distribution in Bayesian statistics
- ▶ Specifically, when using the Laplace approximation to the posterior distribution to obtain an approximate posterior predictive distribution
- ▶ Recall that the Laplace approximation uses a Gaussian distribution centered at the maximum a posteriori (MAP) estimate with covariance given by the inverse observed Fisher information to approximate the posterior distribution
- ▶ The Bernstein–von Mises theorem is used to justify the Laplace approximation
- ▶ In contrast, to justify our approach, we use asymptotic theory for likelihood-free parameter estimators for parametric time series models, nonstationary time series theory (Mies 2023), and the theory of confidence distributions

How to get synthetic training data for forecasting with TSFMs

- ▶ For forecasting with TSFMs, Dooley et al. (2023) pre-train by simulating from *multiplicative seasonality-trend-noise decomposition models* with many $\theta \in \Theta$
- ▶ We consider an extension with multiplicative autoregressive noise

$$Y_t = \text{Se} \left(t, \theta^{\text{Se}} \right) \text{Tr} \left(t, \theta^{\text{Tr}} \right) \exp \left(\kappa X_t - \frac{\kappa^2 \sigma_X^2}{2(1 - \phi^2)} \right) \exp \left(\varepsilon_t^Y - \frac{\sigma_Y^2}{2} \right)$$
$$X_t = \phi X_{t-1} + \varepsilon_t^X$$

for some scaling factor $\kappa > 0$ and autoregressive coefficient $\phi \in (-1, 1)$, with $X_0 \sim N(0, \frac{\sigma_X^2}{1-\phi^2})$ and $\varepsilon_t^X \stackrel{\text{iid}}{\sim} N(0, \sigma_X^2)$, $\varepsilon_t^Y \stackrel{\text{iid}}{\sim} N(0, \sigma_Y^2)$ for some $\sigma_X, \sigma_Y > 0$

- ▶ **Seasonality:** linear combination of sines, cosines (weekly, monthly, yearly periods)
- ▶ **Trend:** product of linear trend and exponential trend
- ▶ Our rolling-window estimator can be used (consistent and asymptotically normal)

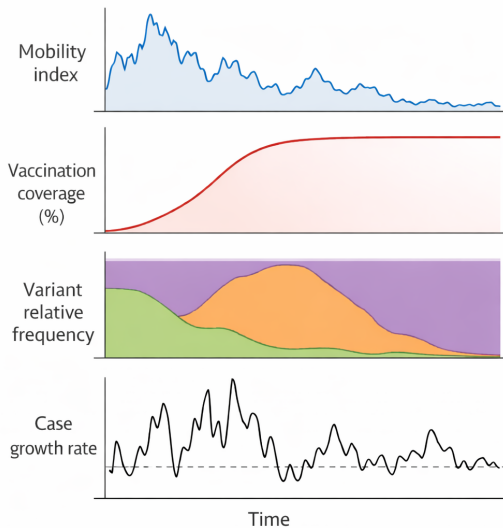
Model we use for smoothing application in epidemiology

- ▶ Discrete-valued process driven by a latent autoregressive process and controls
- ▶ We condition on the controls, so that we may view each control as a discretely observed function of continuous time $Z_t \equiv Z(t/n)$ that is nice (e.g., Hölder)
- ▶ We define a (conditional) state-space model for $(X_{1:n}, Y_{1:n})$ given $Z_{1:n}$ as follows

$$Y_t \mid X_t, Z_t \sim \text{Pois} \left(\exp \left(\kappa X_t + \beta^\top Z_t \right) \right)$$
$$X_t = \mu + \phi(X_{t-1} - \mu) + \varepsilon_t^X$$

- ▶ Effect sizes $\kappa \in \mathbb{R}$, $\beta \in \mathbb{R}^{dz}$, autoregressive coefficient $\phi \in (-1, 1)$, and mean $\mu \in \mathbb{R}$, with $X_0 \sim N(\mu, \frac{\sigma_X^2}{1-\phi^2})$, $\varepsilon_t^X \stackrel{\text{iid}}{\sim} N(0, \sigma_X^2)$ indep. of $Z_{1:n}$, for some $\sigma_X > 0$
- ▶ $Y_{1:n}$ are observed case counts, $X_{1:n}$ is a *latent infectivity* process, and $Z_{1:n}$ are covariates (e.g., vaccination coverage, variant relative frequency, mobility)
- ▶ Our rolling-window estimator can be used (consistent and asymptotically normal)

COVID-19 time series May 2020–2022 ($n=365 \times 2=730$, $d=4$)



Definition of confidence distribution

- ▶ In general, our frequentist procedure can be used with any *confidence distribution* over $\Theta \subset \mathbb{R}^p$ which expresses our uncertainty about the $\theta_0 \in \mathbb{R}^p$
- ▶ Ideally, this distribution is easy to simulate from
- ▶ We give the definition of confidence distributions for the $p = 1$ case, and the generalization to the $p \in \mathbb{N}$ case
- ▶ In the definition, $\Theta \subset \mathbb{R}^p$ is the parameter space and $\mathcal{X}_n$ is the sample space corresponding to the data $X_{1:n}$

Definition of confidence distribution

Definition (Confidence Distribution, $p = 1$, (Min-ge Xie and Singh 2013))

A function $\widehat{\text{CD}}_n(\cdot) = \widehat{\text{CD}}_n(X_{1:n}, \cdot)$ on $\mathcal{X}_n \times \Theta \rightarrow [0, 1]$ is called a confidence distribution (CD) for a parameter θ , if:

- ① For each given $X_{1:n}$, $\widehat{\text{CD}}_n(\cdot) = \widehat{\text{CD}}_n(X_{1:n}, \cdot)$ is a CDF on Θ
 - ② At the true parameter value $\theta = \theta_0$, $\widehat{\text{CD}}_n(\theta_0) \equiv \widehat{\text{CD}}_n(X_{1:n}, \theta_0)$, as a function of the sample $X_{1:n}$, follows the uniform distribution $U[0, 1]$
- Also, the function $\widehat{\text{CD}}_n(\cdot)$ is an asymptotic confidence distribution (aCD), if the $U[0, 1]$ requirement is true only asymptotically

Definition of confidence distribution

- ▶ The definition of confidence distributions for the general $p \in \mathbb{N}$ case involves depth functions
- ▶ As discussed in R. Y. Liu, Parelius, and Singh (1999), a data depth is a way of measuring how deep or central a point $x \in \mathbb{R}^d$ is with respect to a probability distribution P on $\mathbb{R}^d$, $d \in \mathbb{N}$, or with respect to a given data cloud $X_{1:n}$
- ▶ In general, a point with a larger depth value means that it is closer to the center of the distribution or more central in a data cloud, while points with smaller depth values are farther away from the center, so data depth is a center-outward ordering of multivariate observations

Definition of confidence distribution

- For example, the Mahalanobis depth (D_M) (Mahalanobis 1936) at $x \in \mathbb{R}^d$ with respect to P is defined as

$$D_M(P, x) = \frac{1}{1 + (x - \mu_P)^\top \Sigma_P^{-1} (x - \mu_P)},$$

where μ_P and Σ_P are the mean vector and the dispersion matrix of P , respectively

- We obtain the sample version of D_M by replacing μ_P and Σ_P by the corresponding sample estimates $\hat{\mu}_P$ and $\hat{\Sigma}_P$
- See R. Y. Liu, Parelius, and Singh (1999) for more examples of data depth

Definition of confidence distribution

Definition (Confidence Distribution, $p \in \mathbb{N}$, (D. Liu, R. Y. Liu, and Min-ge Xie 2022))

A function $\widehat{\text{CD}}_n(\cdot) \equiv \widehat{\text{CD}}_n(X_{1:n}, \cdot)$ on $\Theta \subset \mathbb{R}^p$ is called a depth confidence distribution (depth-CD) associated with depth function D for a vector-valued parameter θ , if:

- ① It is a distribution function on the parameter space Θ for any fixed sample set $X_{1:n}$
- ② The $(1 - \alpha)$ “central region” of the distribution $\widehat{\text{CD}}_n(\cdot)$,

$$\mathcal{R}_{1-\alpha}(\widehat{\text{CD}}_n) = \{\theta \in \Theta : C_{\widehat{\text{CD}}_n}(\theta) \geq \alpha\},$$

is a confidence region for θ with a coverage probability of $(1 - \alpha)$. Here, the centrality function associated with depth D and confidence distribution $\widehat{\text{CD}}_n(\cdot)$, that is, $C_{\widehat{\text{CD}}_n}(\theta)$, is also referred to as a depth confidence curve (depth-CV)

- If the statements in (2) hold only asymptotically, then we refer to $\widehat{\text{CD}}_n$ and $C_{\widehat{\text{CD}}_n}$ as asymptotic depth-CD and asymptotic depth-CV, respectively

Depth-CV for Gaussian depth-CD

- ▶ In this work, we focus on asymptotic Gaussian depth confidence distributions of the form $\widehat{\text{CD}}_n = N(\hat{\theta}, \hat{\Sigma}/n)$ for a multi-dimensional parameter $\theta \in \mathbb{R}^p$, $p \in \mathbb{N}$
- ▶ Let $q_{1-\alpha}$ be the $1 - \alpha$ quantile of χ_p^2 , i.e., $\mathbb{P}(\chi_p^2 \leq q_{1-\alpha}) = 1 - \alpha$
- ▶ As usual, the asymptotic $1 - \alpha$ confidence region for θ_0 is

$$\mathcal{R}_{1-\alpha}(\widehat{\text{CD}}_n) = \{\theta \in \Theta : (\theta - \hat{\theta})^\top (\hat{\Sigma}/n)^{-1} (\theta - \hat{\theta}) \leq q_{1-\alpha}\}$$

so applying the χ_p^2 CDF $F_{\chi_p^2}$, subtracting by 1, dividing by -1 , yields

$$\mathcal{R}_{1-\alpha}(\widehat{\text{CD}}_n) = \{\theta \in \Theta : C_{\widehat{\text{CD}}_n}(\theta) = 1 - F_{\chi_p^2}[(\theta - \hat{\theta})^\top (\hat{\Sigma}/n)^{-1} (\theta - \hat{\theta})] \geq \alpha\}$$

Result for confidence distributions

- We justify this Gaussianity through the asymptotic normality of the parameter estimator, nonstationary time series theory (Mies 2023), and the following result from D. Liu, R. Y. Liu, and Min-ge Xie (2022) (Theorem 2 therein)

Theorem (Depth-CDs from Pivot Statistics (D. Liu, R. Y. Liu, and Min-ge Xie 2022))

Assume that $A_n(X_{1:n})$ is a nonsingular matrix such that $A_n(X_{1:n})(\hat{\theta} - \theta)$ follows a distribution Q_n that is free of all unknown parameters. Also assume that η_n is a random vector, independent of the sample $X_{1:n}$, following the distribution Q_n . Then, conditional on $X_{1:n}$, the distribution function of $(\hat{\theta} - A_n(X_{1:n})^{-1}\eta_n)$ is a depth-CD for θ , under the following conditions:

- ① *The depth D is affine-invariant.*
- ② *The depth contours $\{\eta_n : D_{Q_n}(\eta_n) = \epsilon\}$ all have probability zero with respect to Q_n for any $\epsilon > 0$.*

Definition of confidence distribution

- ▶ Alternatively, use parametric bootstrap (Efron 1979; Efron and Tibshirani 1994)
- ▶ To use a parametric bootstrap approach, we would estimate the parameter on the observed data, simulate from the model with the estimated parameter, then re-estimate the parameter for each simulated realization
- ▶ The sampling distribution of the re-estimates is used as the depth-CD
- ▶ Theorem 1 in D. Liu, R. Y. Liu, and Min-ge Xie (2022) shows that this bootstrap distribution is an asymptotic depth-CD under certain regularity conditions
- ▶ For more info about the connections between bootstrap distributions and confidence distributions, see Example 3 in Min-ge Xie and Singh (2013)

Bootstrap distribution is a confidence distribution

- ▶ We opt for an asymptotic Gaussian depth-CD, rather than a bootstrap depth confidence distribution, to improve the computational efficiency of our method
- ▶ This computational efficiency is particularly important, because our proposed method is intended to be applicable to models with intractable likelihoods
- ▶ In this setting, parameter estimation typically relies on simulation-based procedures that are substantially more computationally demanding than methods like maximum likelihood estimation
- ▶ Therefore, our procedure shares some of the motivations behind the Krinsky and Robb (1986) method

Estimating the asymptotic covariance

- ▶ Let $Q_n(\cdot)$ be the sample discrepancy function s.t. $\hat{\theta} = \arg \min_{\theta \in \Theta} \|Q_n(\theta)\|$, and let V be the asymptotic covariance matrix from $\sqrt{n}Q_n(\theta_0) \Rightarrow N(0, V)$
- ▶ Let $Q(\cdot)$ be the population discrepancy function s.t. $Q_n(\theta) \xrightarrow{P} Q(\theta)$ uniformly over Θ , and let Γ be the Jacobian matrix of $Q(\cdot)$ at θ_0
- ▶ We prove consistency $\hat{\theta} \xrightarrow{P} \theta_0$ and asymptotic normality

$$\sqrt{n}(\hat{\theta} - \theta_0) \Rightarrow N\left(0, (\Gamma^\top \Gamma)^{-1} \Gamma^\top V \Gamma (\Gamma^\top \Gamma)^{-1}\right)$$

- ▶ We need to estimate $(\Gamma^\top \Gamma)^{-1} \Gamma^\top V \Gamma (\Gamma^\top \Gamma)^{-1}$
- ▶ First, we estimate Γ using numerical differentiation tools (to be determined)
- ▶ Second, we estimate V by (slightly) extending covariance estimation results from nonstationary time series theory Mies and Steland (2023) and Mies (2023)
- ▶ For both estimators, use plug-in approach with $\hat{\theta}$ in place of the unknown θ_0

Which features should we use?

- ▶ **Method of simulated moments:** F based on functions of moments
 - ▶ Sample mean, variance, skewness, autocorrelation, and so on
- ▶ **Indirect inference:** F from parameter estimates in auxiliary model
 - ▶ To get $\hat{\theta}$ for MA(1): $X_t = \epsilon_t + \theta_0 \epsilon_{t-1}$
 - ▶ Use $F = \hat{\beta}$ from AR(1): $X_t = \beta X_{t-1} + \xi_t$
- ▶ **Synthetic likelihood:** F from user-chosen summary statistics
 - ▶ Coefficients from polynomial regression of X_t on $X_{t-1}, \dots, X_{t-\ell}$
- ▶ **Neural summary statistics:** F from neural network
 - ▶ Extract early layer of neural network

What do we mean by “almost every” function? Prevalent subset

Definition (J. Yorke and Ott (2005))

Let V be a completely metrizable topological vector space. A Borel set $E \subset V$ is said to be **prevalent** if there exists some Borel measure μ on V such that:

- ① $0 < \mu(C) < \infty$ for some compact subset C of V
- ② The set $E + v$ has full μ -measure (that is, the complement of $E + v$ has measure zero) for all $v \in V$

- ▶ In this literature, it is common to say that, if $E \subset V$ contains a prevalent Borel set, then “almost every” element of V lies in E
- ▶ In this sense, “almost every” C^1 smooth map from $\mathbb{R}^p$ to $\mathbb{R}^{2p+1}$ has the properties from the embedding theorem of Sauer, J. A. Yorke, and Casdagli (1991)

Definition of smooth manifold (University of Toronto Lecture Notes)

Definition

A C^∞ -manifold (i.e. smooth manifold or differentiable manifold) is a Hausdorff topological space M , with countable basis, together with a C^∞ -atlas

- The next slides explain the definitions needed to understand this

Definition of smooth manifold (University of Toronto Lecture Notes)

- ▶ An n -dimensional manifold is a space that locally looks like $\mathbb{R}^n$. To give a precise meaning to this idea, our space first of all has to come equipped with some topology (so that the word “local” makes sense)
- ▶ Recall that a *topological space* is a set M , together with a collection of subsets of M , called *open subsets*, satisfying the following three axioms: (i) the empty set $\emptyset$ and the space M itself are both open, (ii) the intersection of any finite collection of open subsets is open, (iii) the union of any collection of open subsets is open
- ▶ The collection of open subsets of M is also called the topology of M . A map $f : M_1 \rightarrow M_2$ between topological spaces is called *continuous* if the pre-image of any open subset in M_2 is open in M_1 . A continuous map with a continuous inverse is called a *homeomorphism*

Definition of smooth manifold (University of Toronto Lecture Notes)

- ▶ One ingredient in the definition of a manifold is that our topological space comes equipped with a covering by open sets which are homeomorphic to open subsets of $\mathbb{R}^n$
- ▶ Let M be a topological space. An n -dimensional *chart* for M is a pair (U, ϕ) consisting of an open subset $U \subset M$ and a continuous map $\phi : U \rightarrow \mathbb{R}^n$ such that ϕ is a homeomorphism onto its image $\phi(U)$. Two such charts (U_α, ϕ_α) , (U_β, ϕ_β) are C^∞ -compatible if the transition map

$$\phi_\beta \circ \phi_\alpha^{-1} : \phi_\alpha(U_\alpha \cap U_\beta) \rightarrow \phi_\beta(U_\alpha \cap U_\beta)$$

is a diffeomorphism (a smooth map with smooth inverse). A covering $\mathcal{A} = (U_\alpha)_{\alpha \in A}$ of M by pairwise C^∞ -compatible charts is called a C^∞ -atlas

Definition of smooth manifold (University of Toronto Lecture Notes)

- ▶ We recall that a topological space is called *Hausdorff* if any two points have disjoint open neighborhoods.
- ▶ A *basis* for a topological space M is a collection $\mathcal{B}$ of open subsets of M such that every open subset of M is a union of open subsets in the collection $\mathcal{B}$.
- ▶ A topological space with countable basis is also called *second countable*
- ▶ For example, the collection of open balls $B_\varepsilon(x)$ in $\mathbb{R}^n$ define a basis. But one already has a basis if one takes only all balls $B_\varepsilon(x)$ with $x \in \mathbb{Q}^n$ and $\varepsilon \in \mathbb{Q}_{>0}$; this defines a countable basis.

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